GMS WEEKLY

Your Source for Recycling News

September 30th, 2022
Volume 242, Issue 1050
Week 39

Highlights:

- **Sentiments slip.**
- **Pakistan woes.**
- **Bangla struggles.**
- **Supply improves.**
- **Price lull.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"Courage is like a muscle. We strengthen it by use."

– Ruth Gordo

MARKET COMMENTARY

SOUNDS OF SOFTENING!

Sentiments have softened across sub-continent markets once again this week, as Buyers appear increasingly reluctant to commit on fresh tonnage whilst fundamentals remain so shaky – especially as the markets have witnessed across the last couple of weeks, where currencies and steel plate prices took turns in tumbling.

The Pakistani Rupee has breached historical lows and despite the odd flash of appreciation, has given Gadani Buyers extreme discomfort over the course of a torturous year of monumental declines.

Bangladesh, likewise, has suffered a currency calamity of its own, coupled with declining steel plate prices and increased limits on establishing fresh L/Cs due to a dire shortage of U.S. Dollars in the country, most Chattogram Buyers are holding back or simply unable / unwilling to offer at all on any of the freshly proposed units.

India has lost about USD 80/LDT on steel prices over the last several weeks and despite gaining a marginal USD 5/Ton this week, remains under pressure as the lowest placed of all sub-continent markets once again. The Indian Rupee has also crossed the psychologically worrying Rs. 80 mark, leaving Alang Buyers as worriedly cautious as their competitors.

Finally, the Turkish market remains depressed and unchanged for yet another week, as there are no units available to this market and at these current levels, most Owners / Cash Buyers wouldn't commit their units to Aliaga Buyers anyways.

The supply of tonnage in the sub-continent had started to marginally improve but remains relatively strained as all freight sectors continue to perform, leaving demo markets starved of vessels once again. Prices therefore remain stranded below USD 600/LDT for another week with little chance of crossing that psychological barrier any time soon. The tendency indeed seems to suggest that levels will cool off again (perhaps down to the low USD 550s/LDT) in worrying signs for the recycling markets once again.

For week 39 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Weak	570 / LDT*	580 / LDT*	590 / LDT*
2	Pakistan	Weak	560 / LDT	570 / LDT	580 / LDT
3	India	Weak	550 / LDT	560 / LDT	570 / LDT
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

**Small LDT*

GMS wishes readers in China a Happy Golden Week / October holidays ahead!

BANGLADESH

BACK DOWN!

Retreat.

Despite what seemed to be a brief revival for the country's domestic ship-recycling sector, Bangladeshi Recyclers have retreated their offers once again, forcing Cash Buyers with any tonnage to sell to Chattogram, to now look to trade, hold / lay-up, or even sell to competing locations.

Many of the offers emanating on the paucity of available vessels are now surfacing below USD 600/LDT as Chattogram Buyers sense a bargain or two. Unfortunately, the number of workable units at these reduced rates remain few and far between.

Tough LCs.

The ongoing restrictions on large U.S.$ value L/Cs remain tight across the country. As such, End Buyers need to have their credit facilities and banks in line, in order to adhere to the necessary government approvals on Site L/Cs.

NO MARKET SALES REPORTED

INDIA

TORRID TIME!

Despite firming a marginal USD 5/Ton this week, the Indian ship recycling sector overall has endured a torrid time of late, with noteworthy declines in steel plate prices of about USD 80/Ton over recent weeks, and this has left Alang Buyers spooked & reluctant to offer anew on any units being proposed.

Steel falls.

The currency too has suffered as the Indian Rupee nearly breached Rs. 81.90 (rapidly coming up on Rs. 82) against the U.S. Dollar, retreating back to the mid Rs. 81s, in further worrying performances of a key fundamental for Alang Buyers.

Ports emptying.

With a diminished supply of tonnage and price levels trailing its competing neighbours, India remains mostly out of the market. Moreover, with all port reports emptying up, it could be a while before local Recyclers are able to snag a few units, fill up their plots again, and business is 'back to normal'.

NO MARKET SALES REPORTED

PAKISTAN

BELEAGUERED GADANI!

Markets suffer.

After continued and devastating currency depreciations, in addition to a political coup that rattled domestic fundamentals and resulted in ship prices collapsing by over USD 100/Ton, the recent catastrophic & destructive flooding was just another source of tragedy for a nation that has suffered terribly this year.

The Pakistani Rupee has firmed marginally from PKR 236 to about PKR 228, while local steel plate prices remained flat through the course of the week.

No sales to report.

As a result, very few sales have taken place recently and domestic recycling plots in Gadani are eerily quiet after several quarters of almost complete inertia. In fact, after a couple of months of no local deliveries, Gadani's waterfront was finally greeted by a small LDT tug this week.

Despite India falling to levels lower than Pakistan and Bangladesh also starting to cool off this week, there appears to be no sign of Pakistan securing any vessels any time soon, even though demand is starting to ramp up in the sub-continent once again.

NO MARKET SALES REPORTED

TURKEY

AIRPLANE MODE!

The Turkish market seems to have entered into Airplane mode, with no change in the plummeted import and local steel plate prices, a Lira that has further collapsed towards the mid TRY 18s against the U.S. Dollar, an utter lack of tonnage, and a local sentiment that is simply unwilling to place their bets on any tonnage being proposed, especially until fundamentals display even a glimmer of stability.

Unwilling to bet.

As such, lack of sales and lack of any local activity is sure to see yards temporarily close, as we head deeper into Q4.

Q4 closure?

NO MARKET SALES REPORTED

AMAZING FACTS

- *Cap'n Crunch's full name is Horatio Magellan Crunch. He's also been called out for only having the bars of a Navy commander, but the so-called cap'n held his ground on Twitter, arguing that captaining the S.S. Guppy with his crew "makes an official Cap'n in any book!".*
- *Paint used to be stored in pig bladders. The bladder would be sealed with a string and then pricked to get the paint out. This option wasn't the best because it would often break open. American painter John G. Rand was the innovator who, in the 19th century, made paint tubes from tin and screw caps.*
- *Humans have jumped farther than horses in the Olympics. The Olympic world record for the longest human long jump is greater than the world record for longest horse long jump. Mike Powell set the record in 1991 by jumping 8.95 meters, and the horse Extra Dry set the record in 1900 by jumping 6.10 meters.*
- *The Terminator script was sold for $1. James Cameron is the award-winning director of movies like Titanic and Avatar. In order to get his big break with The Terminator, he sold the script for $1 and a promise that he'd direct it.*
- *Pigeon poop is the property of the British Crown. In the 18th century, pigeon poop was used to make gunpowder, so King George I confirmed the droppings to be the property of the Crown.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
October 05 – Vijaya Dashami October 09 – Eid-E-Milad October 24 – October 27 – Diwali	October 07 – October 25 October 25 – October 31

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
October 05 – Durga Puja October 09 – Eid-E-Miladun-Nabi (S)	October 08 – October 11 October 24 – October 27

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
October 1 – October 7 – National Day	October 9 – Eid October 24 – Founding Day	October 28 – October 29 – Republic Day

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of September 30, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Aba (Under Tow)	6,236	Jack-up Rig	Beached September 27
2	Aristotle	2,065	Fishing Vessel	Beached September 24
3	Deed 1	1,986	General Cargo	Arrived September 29
4	Prometey	1,615	Oil Tanker	Beached September 24
5	Singa	22,158	Passenger Vessel	Beached September 29
Total Tonnage		34,060		

CHATTOGRAM - Port Position as of September 30, 2022

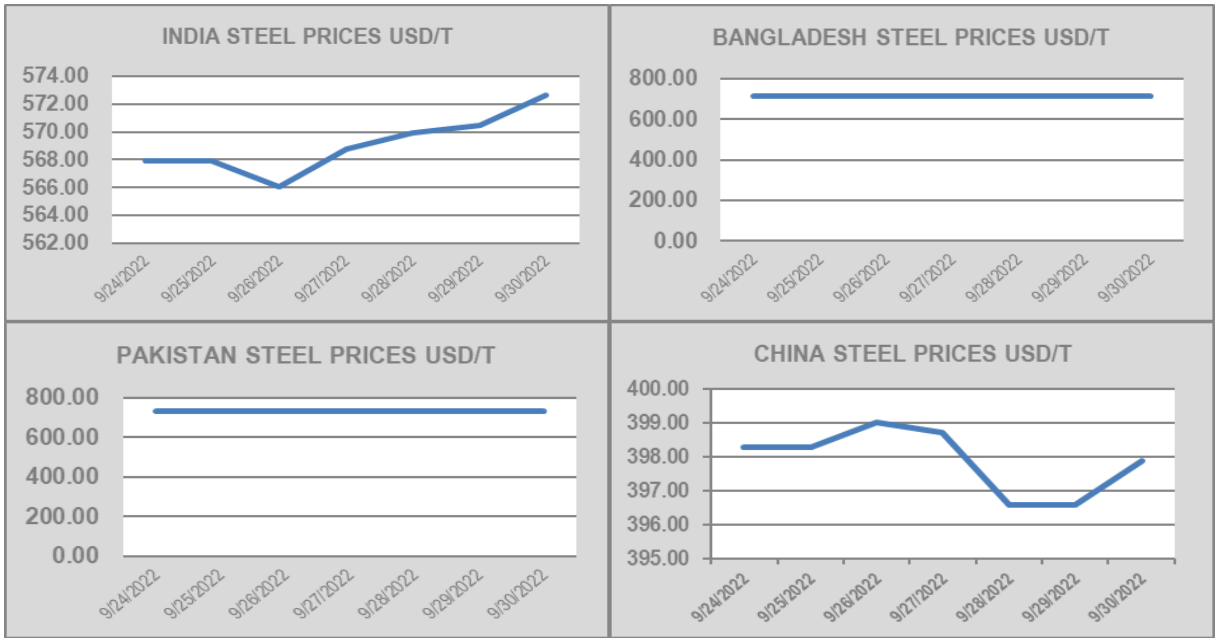
No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ariana	15,672	Tanker	Arrived June 22
2	Gala	16,885	Tanker	Arrived February 28
3	New Smile	2,206	Tanker	Beached September 29
4	Oras	1,879	Container	Arrived September 27
5	Roknoor 3	600	Bulk Carrier	Beached September 27
6	Shankhachil	483	Tanker	Beached September 27
7	Winton T128	975	Bulk Carrier	Arrived June 23
Total Tonnage		38,700		

GADANI - Port Position as of September 30, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Azab	870	Tug	Beached September 24
Total Tonnage		870		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
9/24/2022	567.90	46,000.00	732.22	175,000.00	717.17	71,000.00	398.31
9/25/2022	567.90	46,000.00	732.22	175,000.00	717.17	71,000.00	398.31
9/26/2022	566.04	46,200.00	732.22	175,000.00	717.17	71,000.00	399.02
9/27/2022	568.77	46,400.00	732.22	175,000.00	717.17	71,000.00	398.74
9/28/2022	569.93	46,700.00	732.22	175,000.00	717.17	71,000.00	396.59
9/29/2022	570.49	46,700.00	732.22	175,000.00	717.17	71,000.00	396.59
9/30/2022	572.65	46,700.00	732.22	175,000.00	717.17	71,000.00	397.90



www.gmsinc.net GMS_Leadership GMS, Inc. snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311